

Harbourstone Test 5

Stable

ASSET CLASS	Multifamily – 48 Units
DOCUMENTS	11 uploaded files
REPORT TIER	Full Underwriting

Executive Summary

Deal overview, operating profile, and primary risk drivers

48-Unit Multifamily

CAPITAL RISK PROFILE

Stable

Primary Pressure Point: DSCR of 1.06x constrains refinance capacity below standard lender coverage thresholds

KEY METRICS SNAPSHOT

UNITS

48

OCCUPANCY

95.8%

ANNUAL IN-PLACE RENT

\$1,036,800

EFFECTIVE GROSS INCOME

\$1,036,800

OPERATING EXPENSES

\$425,000

NET OPERATING INCOME

\$611,800

EXPENSE RATIO

41.0% (Stable)

NOI MARGIN

59.0% (Stable)

BREAK-EVEN OCCUPANCY

41.0% (Stable)

DSCR (COMPUTED)

1.06x

KEY UPSIDE DRIVERS

- Occupancy is 95.8%, reflecting fully stabilized in-place tenancy.
- Operating cushion of 54.8% above break-even occupancy based on in-place performance.

PRIMARY CONSTRAINTS

- Base case DSCR of 1.06x falls below standard lender coverage thresholds, constraining refinance capacity and limiting debt proceeds under both current and stressed conditions.
- Operating profile classified Stable. Under stressed conditions, refinance proceeds are constrained by declining coverage and reduced capital flexibility.

CAPITAL RISK PROFILE: **STABLE**

Expense Ratio	41.0%
NOI Margin	59.0%
Break-Even Occupancy	41.0%

Operating profile classification based on standardized underwriting thresholds from uploaded documents only.

Uploaded Files

This section lists the files uploaded and associated with this report.

- rent_roll_ai_recovery_source.txt - 4/30/2026, 11:05:26 PM
- t12_ai_recovery_source.txt - 4/30/2026, 11:05:26 PM
- broker_email_source.txt - 4/30/2026, 11:05:26 PM
- capex_budget_unstructured_source.txt - 4/30/2026, 11:05:26 PM
- Harbourstone Apartments - Underwriting.pdf - 4/30/2026, 11:05:26 PM
- loan_terms_simple_source.txt - 4/30/2026, 11:05:26 PM
- market_rent_survey_unstructured_source.txt - 4/30/2026, 11:05:26 PM
- property_tax_bill_source.txt - 4/30/2026, 11:05:26 PM
- purchase_assumptions_source.txt - 4/30/2026, 11:05:26 PM
- unsupported_appraisal_summary_source.txt - 4/30/2026, 11:05:26 PM
- unsupported_phase_i_esa_source.txt - 4/30/2026, 11:05:26 PM

Uploaded Renovation / CapEx Document: Uploaded renovation/CapEx source file acknowledged: capex_budget_unstructured_source.txt. Structured CapEx modeling was not produced because the file was not converted into verified structured renovation inputs. No CapEx amount, renovation scope, rent lift, ROI, or payback calculation has been modeled from that document. Renovation-related figures are excluded from quantitative outputs unless separately shown as structured document-derived inputs.

Refinance Stress Test & Constraint Analysis

DSCR, LTV, and binding-constraint analysis under documented operating and capital constraints

Refinance Stability Classification: Refinance Shortfall Under Stress.

Refinance Proceeds / Debt Balance: 0.84x.

Stressed Proceeds / Debt Balance: 0.58x.

NOI SHOCK	CAP EXPANSION (BPS)	RATE SHOCK (BPS)	MAX PROCEEDS	COVERAGE
-15.0%	0 bps	200 bps	\$5,082,069	0.58x
-15.0%	50 bps	200 bps	\$5,082,069	0.58x
-15.0%	100 bps	200 bps	\$5,082,069	0.58x
-10.0%	0 bps	200 bps	\$5,381,014	0.61x

Full Refinance Sufficiency (Deterministic).

METRIC	BASE CASE	WORST CASE
NOI	\$611,800	\$520,030
Cap Rate	5.75%	5.75%
Implied Value (NOI / Cap)	\$10,640,000	\$9,044,000
LTV-Limited Proceeds	\$7,448,000	\$6,330,800
DSCR-Limited Proceeds	\$7,386,163	\$5,082,069
Binding Constraint	DSCR-limited	DSCR-limited (Rate/DSCR binding)
Max Proceeds (min of above)	\$7,386,163	\$5,082,069
Coverage (Max Proceeds / Debt Balance)	0.84x	0.58x
Worst-Case Drivers (NOI shock Cap expansion Rate shock)	-	-15.0% 0 bps 200 bps

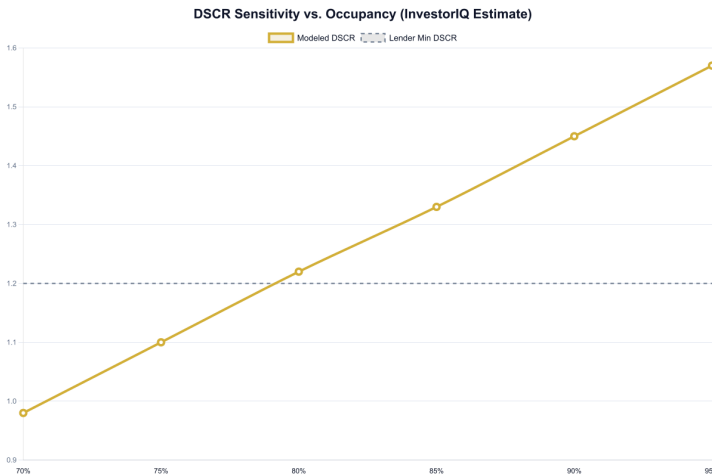
Debt Structure & Financing

DSCR sensitivity, lender thresholds, and refinance constraint analysis

DEBT STRUCTURE SUMMARY

COMPONENT	TERMS
Outstanding Balance	\$8,750,000
Interest Rate	5.25%
DSCR (T12 NOI)	1.06x
Amortization	30 years

DSCR SENSITIVITY & COVERAGE THRESHOLD ANALYSIS



Note: DSCR is based on current debt service and NOI, and should be interpreted relative to standard lender thresholds and available coverage cushion. It is not impacted by cap rate assumptions.

REFINANCE STRESS TEST & BINDING CONSTRAINT ANALYSIS

CURRENT DEBT COVERAGE & CONSTRAINT SENSITIVITY

RATE SCENARIO	DSCR
Base (5.25%)	1.06x
+100 bps (6.25%)	0.95x
+200 bps (7.25%)	0.85x

Current debt service coverage sensitivity using current debt balance under interest-rate scenarios only. Green = coverage >= 1.25 | Amber = 1.00–1.24 | Red = below 1.00

Operating Statement (Trailing Twelve Months)

Operating summary based on uploaded financials

INCOME RECONSTRUCTION (TTM)

INCOME LINE ITEM	TTM AMOUNT
No line-item detail available. Effective Gross Income (TTM): \$1,036,800.	

OPERATING EXPENSES (TTM)

EXPENSE LINE ITEM	TTM AMOUNT
No line-item detail available. Total Operating Expenses (TTM): \$425,000.	

NET OPERATING INCOME SUMMARY

METRIC	VALUE
Effective Gross Income (TTM)	\$1,036,800
Total Operating Expenses (TTM)	\$425,000
Net Operating Income (TTM)	\$611,800
Operating Expense Ratio	41.0%
EGl per Unit (TTM)	\$21,600
OpEx per Unit (TTM)	\$8,854
NOI per Unit (TTM)	\$12,746

Operating Profile

Occupancy, rent level, and operating summary

INCOME & EXPENSE SUMMARY (LUMP-SUM T12)

LINE ITEM	AMOUNT (TTM)
Effective Gross Income (TTM)	\$1,036,800
Total Operating Expenses (TTM)	\$425,000
Net Operating Income (TTM)	\$611,800

No line-item detail available for this T12 format. All values are reported totals.

REVENUE UPSIDE QUANTIFICATION

METRIC	VALUE
Annual In-Place Rent	\$1,036,800
Annual Market Rent (100% Occupancy)	\$1,137,600
Gross Rent Upside	\$100,800 (9.7%)

All values document derived from uploaded rent roll. Market rents as stated in document.

Expense Structure Analysis

Expense ratio, drivers, and intensity flags

METRIC	VALUE
Operating Expense Ratio	41.0%
Operating Expense per Unit	\$8,854
NOI per Unit	\$12,746

EXPENSE FLAGS (DETERMINISTIC)

EXPENSE DRIVERS

No line-item expense detail available. Total Operating Expenses: \$425,000.

EXPENSE RATIO SENSITIVITY

EXPENSE RATIO	IMPLIED OPEX	IMPLIED NOI
50%	\$518,400	\$518,400
55%	\$570,240	\$466,560
60%	\$622,080	\$414,720
65%	\$673,920	\$362,880
70%	\$725,760	\$311,040

Anchored to reported EGI of \$1,036,800. Standardized threshold scenarios.

NOI Stability Review

Margin, volatility, and income resilience

INDICATOR	VALUE
NOI Margin	59.0%
Expense Sensitivity	59.0%
Break-even Occupancy	41.0%
Rent Roll vs T12 GPR Variance	0.0%

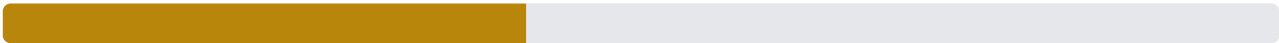
STABILITY DRIVERS (WORST 3)

- 1. NOI Margin 59.0%
- 2. Expense Ratio 41.0%
- 3. Rent Roll vs T12 GPR 0.0%

NOI SENSITIVITY (DETERMINISTIC)

SCENARIO	IMPLIED NOI	NOI MARGIN (IMPLIED)
Expenses +5% (cost shock)	\$590,550	57.0%
Income -5% (revenue shock)	\$559,960	56.9%
Combined Shock (-5% income, +5% expenses)	\$538,710	54.7%

BREAK-EVEN OCCUPANCY BUFFER



Break-even: 41.0% Current occupancy: 95.8%

Buffer: 54.8 percentage points – Strong cushion

Data Coverage & Underwriting Gaps

Missing inputs and omitted sections

CORE INPUT COVERAGE CONFIRMED: T12 and Rent Roll Verified.

Core financial inputs (T12, Rent Roll, and available structured debt data) were extracted and incorporated into underwriting analysis. Supplemental documents that are not converted into structured report inputs are not used quantitatively. Unsupported or unstructured uploads remain excluded from modeled outputs.

DATASET	FIELDS PRESENT	COVERAGE	MISSING
T12 Operating Statement	4/4	100.0%	None
Rent Roll	4/4	100.0%	None

Scenario Analysis & Five-Year Outlook

Cash flow projections and return sensitivities

SCENARIO INPUTS

YEAR	CONSERVATIVE (2% GROWTH)	BASE (3% GROWTH)	OPTIMISTIC (4% GROWTH)
Year 1	\$624,036	\$630,154	\$636,272
Year 2	\$636,517	\$649,059	\$661,723
Year 3	\$649,247	\$668,530	\$688,192
Year 4	\$662,232	\$688,586	\$715,719
Year 5	\$675,477	\$709,244	\$744,348
Year 5 Exit Value	\$11,747,420	\$12,334,676	\$12,945,187

Basis: T12 NOI = \$611,800 | Exit cap: 5.75% (document derived). Scenario outputs are deterministic from document-backed inputs.

YEAR 5 EXIT VALUE: CAP RATE SENSITIVITY

EXIT CAP RATE	CONSERVATIVE	BASE	OPTIMISTIC
4.5%	\$15,010,592	\$15,760,975	\$16,541,072
5.0%	\$13,509,533	\$14,184,878	\$14,886,965
5.5%	\$12,281,393	\$12,895,343	\$13,533,604
5.75% (document derived)	\$11,747,420	\$12,334,676	\$12,945,187
6.0%	\$11,257,944	\$11,820,731	\$12,405,804
6.5%	\$10,391,948	\$10,911,444	\$11,451,511

Deal Scorecard & Radar

InvestorIQ deal score components

FACTOR-LEVEL SCORES

Within Underwriting Parameters

Composite Score: 83 / 100

FACTOR	VALUE	THRESHOLD	SCORE
Expense Ratio	41.0%	Below 55%	10/10
NOI Margin	59.0%	Above 45%	10/10
Occupancy Rate	95.8%	Above 95%	10/10
Break-Even Occupancy	41.0%	Below 70%	10/10
Rent-to-Market Gap	8.9%	5-15% upside	7/10
DSCR (Computed)	1.06x	Below 1.25x	3/10
Composite Score (normalized)			83/100

Scored from reported metrics only. Within Underwriting Parameters ≥ 70 | Review 50–69 | Outside Parameters < 50. DSCR not assessed caps the verdict at Review.

RISK REGISTER: DETERMINISTIC SIGNAL SUMMARY

RISK FACTOR	CURRENT READING	THRESHOLD	FLAG
Expense Ratio	41.0%	CLEAR < 55% WATCH 55-65% ELEVATED > 65%	CLEAR
NOI Margin	59.0%	STRONG > 45% WATCH 35-45% LOW < 35%	STRONG
Occupancy Rate	95.8%	CLEAR > 95% WATCH 85-95% LOW < 85%	CLEAR
Break-Even Occupancy	41.0%	CLEAR < 70% WATCH 70-80% ELEVATED > 80%	CLEAR
Rent-to-Market Gap	8.9% below market	> 15% = meaningful upside 5-15% = moderate < 5% = minimal	MODERATE
DSCR (Current Debt)	1.06x	STRONG > 1.35x ADEQUATE 1.25-1.35x STRESSED < 1.25x	STRESSED

Signals are derived deterministically from document-backed inputs and framework-constrained calculations. Missing inputs are not inferred.

Discounted Cash Flow (DCF)

Cap rate expansion, exit sensitivity, and downside valuation pressure

YEAR	NOI	EXIT VALUE	TOTAL CASH FLOW	PV FACTOR	PRESENT VALUE
Year 1	\$630,154	-	\$630,154	0.9259	\$583,476
Year 2	\$649,059	-	\$649,059	0.8573	\$556,463
Year 3	\$668,530	-	\$668,530	0.7938	\$530,701
Year 4	\$688,586	-	\$688,586	0.7350	\$506,131
Year 5	\$709,244	\$12,334,676	\$13,043,920	0.6806	\$8,877,473
Estimated Intrinsic Value (Sum of PVs)					\$11,054,244

Basis: T12 NOI = \$611,800 | Annual NOI growth: 3.0% (stated) | Discount rate: 8.0% (stated) | Exit cap: 5.75% (document derived)

INTRINSIC VALUE: EXIT CAP RATE SENSITIVITY

EXIT CAP RATE	YEAR 5 EXIT VALUE	IMPLIED INTRINSIC VALUE	VS. BASE
4.5%	\$15,760,975	\$13,386,126	21.1%
5.0%	\$14,184,878	\$12,313,460	11.4%
5.5%	\$12,895,343	\$11,435,825	3.5%
5.75% (document derived)	\$12,334,676	\$11,054,244	-
6.0%	\$11,820,731	\$10,704,462	-3.2%
6.5%	\$10,911,444	\$10,085,617	-8.8%

Methodology & Data Transparency

Assumptions, methodology notes, and data limitations

InvestorIQ does not assume or gap-fill missing data. Outputs are primarily attributable to uploaded documents and defined modeling frameworks, with transparency and auditability as core design principles.

Assumptions in this memorandum are permitted only when anchored to uploaded documents or standardized underwriting frameworks. InvestorIQ does not invent missing data or fabricate market inputs.

12.1 InvestorIQ Estimates

InvestorIQ estimates are document-backed and framework-constrained, using uploaded documents and standardized underwriting frameworks. When required inputs are missing, those estimates are omitted rather than inferred.

12.2 Methodology Notes

Metrics and tables reflect document-backed inputs, deterministic calculations, and framework-constrained outputs. Missing source data is not gap-filled.

12.3 Data Limitations & Missing Inputs

This memorandum is limited to the documents provided and the fields that could be verified. Missing values are disclosed and excluded from analysis.